Quillwood Credit Partners

Origination and credit | Internal working paper

Coastal Ridge Estates Screening Paper

Investment Committee screening paper: A$27.0M senior secured construction and developme

Prepared for the Investment Committee

Prepared by Quillwood Credit Partners

6 August 2025

Version 1.0, recommendation: decline

Reference: QCP-IC-2025-0806-CRE

Date: 6 August 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Coastal Ridge Estates Pty Ltd
ABN	46 592 585 810
Sponsor	Ridgeline Homes Group Pty Ltd (trading as Ridgeline Homes)
Registered address	Level 6, 200 Adelaide Street, Brisbane QLD 4000
Asset	140 lot residential land subdivision, 14.6 hectares, Narangba QLD (Moreton Bay Regional Council)
Facility requested	A$27.0M senior secured construction and development facility, 30 months
Date	6 August 2025
Prepared by	Quillwood Credit Partners
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Transaction details

1. Executive summary

Coastal Ridge Estates Pty Ltd (the Borrower) is a single-purpose vehicle established by Ridgeline Homes to develop a 140 lot greenfield subdivision at Narangba in four stages. It seeks a A$27.0M senior secured facility to refinance an existing A$7.5M land loan and fund civil works, statutory infrastructure charges, professional fees, marketing and capitalised interest. Total development cost (TDC) is A$45.0M and gross realisation value (GRV) is A$68.6M, which gives a loan to cost ratio (LTC) of 60.0% and a loan to GRV ratio of 39.4%.

The headline leverage metrics are within a range we would ordinarily consider. The proposal fails at screening on three policy points: pre-sales, sponsor equity and valuation basis. Pre-sales are 18% (25 of 140 lots) against a policy minimum of 25%. Sponsor cash equity is 6% of TDC, or A$2.7M. Total equity evidenced is A$12.3M against A$18.0M required, a shortfall of A$5.7M with no committed source of funds. The only valuation is a desktop assessment, which does not meet our requirement for a full valuation with site inspection on a development exposure.

This facility was declined on 5 June 2025 for the same pre-sales and equity reasons. Nothing provided to us since changes that assessment. We recommend the Committee confirm the decline and note the conditions on which we would revisit.

2. Recommendation

Quillwood Credit Partners recommends that the Committee decline the request for a A$27.0M facility to Coastal Ridge Estates Pty Ltd. We recommend the Committee also note that we would reconsider the proposal if all of the following are met:

- Pre-sales of at least 30% of lots (42 lots), supported by unconditional contracts and deposits held in trust, with an agreed minimum price floor.
- Sponsor equity of A$18.0M fully evidenced, with the cash component contributed ahead of the first facility drawdown.
- A full valuation with site inspection, addressed to Quillwood Credit Partners, covering as-is value, as-if-complete value and a lot by lot pricing analysis.
- A revised QS report and budget that lift construction contingency to a level the quantity surveyor supports.
- A guarantee from Ridgeline Homes Group Pty Ltd supported by current audited financial statements.

3. Transaction

3.1 Facility terms requested

Facility	Senior secured construction and development facility (land subdivision)
Limit	A$27.0M
Tenor	30 months
Security	First ranking real property mortgage and general security agreement (GSA)
Margin	1M BBSW plus 6.75% per annum
Fees	1.50% establishment (A$0.405M), 1.00% per annum line fee on undrawn commitment, 0.50% exit fee (A$0.135M on the full limit)
Status	Indicative only, subject to credit approval

Indicative terms from the term sheet dated 17 April 2025

3.2 Sources and uses

Item	A$M	% of TDC
Senior facility	27.0	60.0
Sponsor equity required	18.0	40.0
Total sources (TDC)	**45.0**	**100.0**

Funding structure at TDC of A$45.0M

Of the facility, A$7.5M would repay the existing land loan. The balance funds civil works under a fixed price head contract, statutory infrastructure charges, professional fees, marketing and capitalised interest for all four stages. Stage 1 settlements are forecast about 14 months after financial close, which leaves roughly 16 months of the 30 month tenor to complete sell-down of the remaining stages and repay the facility.

4. Borrower and sponsor

The Borrower holds the Narangba site, acquired on 22 August 2023 for A$13.6M and funded by the A$7.5M land loan and A$6.1M of sponsor equity. It has no operating business and no revenue. Net debt is A$7.1M after cash of about A$0.4M per the management accounts to 31 March 2025. Repayment depends entirely on lot settlements.

Ridgeline Homes Group Pty Ltd is the sponsor. Daniel Fairbairn is Director and Chief Executive Officer of the Borrower and also managing director of the sponsor. Priya Fennimore is Director and Chief Financial Officer. Tom Eastgate is Non-executive Director and Development Director. Kestrel Capital Advisory Pty Ltd arranged the transaction and Mallory Finch Lawyers act for the Borrower. The sponsor has offered support, but not a guarantee of sufficient strength, and the Borrower has no other income to service debt if sales slow.

5. Security

5.1 Property

The site is 14.6 hectares at Narangba in the Moreton Bay Regional Council area. Reconfiguring a lot approval for 140 lots in four stages was granted on 16 May 2024. Operational works approval for stage 1 and stage 2 civil works was granted on 29 November 2024. Lot sizes range from 375 to 600 square metres, averaging about 450 square metres. Ostler Planning Group Pty Ltd is the town planner.

5.2 Valuation

Harlow & Pryce Property Valuers Pty Ltd provided a desktop valuation dated 24 February 2025 with an as-is value of A$14.2M, A$0.6M above the purchase price of A$13.6M. There was no site inspection. The GRV of A$68.6M reflects 140 lots at an average of A$490,000 ex GST and rests on the sponsor's pricing, which has not been tested by a full valuation. We cannot rely on a desktop assessment to support construction drawdown against an uncompleted subdivision.

The sponsor's feasibility implies a development margin of A$23.6M, or 52.4% on cost. That is high for greenfield lots in this corridor and needs independent verification before any margin-based comfort is taken.

6. Financial analysis

The Borrower has no trading history, so the analysis rests on the development feasibility. We reviewed the financial statements dated 14 March 2025 (auditor Barrett Whyte Chartered Accountants), the management accounts to 31 March 2025 and the QS report from Tindall Cost Consultants Pty Ltd dated 7 March 2025.

Metric	Proposal	Policy or test	Result
Pre-sales (lots)	18% (25 of 140)	Minimum 25% (35 lots)	Fail
Sponsor equity evidenced	A$12.3M	A$18.0M	Fail
Sponsor cash equity	6% of TDC (A$2.7M)	Material cash at risk	Weak
Valuation basis	Desktop	Full, with inspection	Fail
LTC	60.0%	Within appetite	Pass
Loan to GRV	39.4%	Within appetite	Pass
QS contingency	4.5% of hard costs	Adequate for ground risk	Light

Screening against policy

Pre-sales fall 10 lots short of the 25% minimum. The 30% level we would require represents 42 lots, 17 more than are now contracted. At the A$490,000 average, the 25 presold lots represent about A$12.3M of contracted revenue, well under the A$27.0M facility. Facility repayment would depend mainly on uncontracted sales through the construction period.

On equity, the A$5.7M shortfall is 12.7% of TDC. Of the A$12.3M evidenced, only about A$2.7M is cash. The balance of about A$9.6M is land equity and costs incurred to date. That is a weak position for a borrower that must absorb cost overruns before the lender is exposed. If the shortfall were funded by additional debt or deferred costs, effective leverage would exceed the stated 60.0% LTC.

The QS report identified a contingency of 4.5% of hard costs as light for earthworks and stormwater on a site with variable ground conditions. A fixed price head contract transfers some risk, but not latent ground conditions or variations arising from council conditions.

7. Key risks and mitigants

Risk	Assessment	Mitigant available
Sell-down	Pre-sales of 18% leave market risk with the Borrower	None adequate; require 30% minimum
Equity shortfall	A$5.7M with no committed source	Evidence all equity before drawdown
Cost escalation	Contingency of 4.5% is light	Raise contingency; QS monitoring
Competing supply	Narangba and Moreton Bay supply may pressure the A$490,000 average	Full valuation with market analysis
Infrastructure charges and conditions	Could raise TDC and delay stage release	Fund from equity; planner confirmation
Sponsor and asset concentration	SPV with a single asset and no guarantee of sufficient strength	Guarantee from Ridgeline Homes Group

Principal risks

The mitigants listed are what we would need in place and none is currently available. The pre-sales and equity gaps are fundamental to the structure and cannot be resolved by conditions subsequent.

8. Covenants (indicative, if revisited)

These are not offered for approval. They set out the covenant package we would expect if the proposal returns at 30% pre-sales.

- Loan to cost not above 60.0% and loan to GRV not above 40.0% at all times, tested on each drawdown.
- Minimum pre-sales of 30% of lots by number and value before the first civil works drawdown, with further pre-sales hurdles before each later stage.
- Release of 100% of net sale proceeds to the facility until repaid in full.
- Contingency of not less than 7.5% of hard costs, with a cost to complete test certified by the QS before each drawdown.
- Sponsor equity injected in full before the first drawdown.
- Monthly QS and project reporting, and quarterly sales and absorption reporting.
- Guarantee from Ridgeline Homes Group Pty Ltd with minimum net worth and liquidity covenants.

9. Conditions precedent and subsequent (indicative)

9.1 Conditions precedent

- Full valuation by a Quillwood Credit Partners panel valuer with site inspection.
- Updated QS report and budget, including the revised contingency.
- Executed pre-sale contracts for at least 42 lots, with deposits held in trust and buyer finance qualification.
- Evidence of A$18.0M equity, including the cash component in the Borrower's account.
- Executed fixed price head contract, contractor financials and performance security.
- Final development approvals, infrastructure charge notices and insurances.
- First ranking mortgage, GSA and guarantee documentation with legal opinions.

9.2 Conditions subsequent

- Registration of securities and interests within agreed timeframes.
- Delivery of stage plans and titles in line with the construction program.
- Hedging or rate arrangements, if required, within 30 days of financial close.

10. Sign-off

The analyst confirms that this paper fairly reflects the information provided to Quillwood Credit Partners as at 6 August 2025. The approver confirms that the recommendation has been reviewed.

Role	Name	Signature and date
Analyst	Hamish Corrigan, Investment Analyst	
Approver	Fiona Lusk, Head of Real Estate Credit	

Sign-off